Kirloskar Brothers Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Pune-based pump maker, from small farm and home pumps to large engineered pumps for power plants (including nuclear), oil and gas, water supply and fire fighting. Overseas it owns SPP in the UK and USA and a Dutch group, which also earn from servicing pumps under long-term framework contracts.

Number	Value	What it means
Market cap	Rs 12,976 cr	What the market values the whole company at (Screener).
Q2 FY27 consolidated revenue	Rs 1,277 cr	Up 24% on last year; H1 up 19% to Rs 2,382 cr.
Q2 FY27 consolidated EBITDA	Rs 143 cr, margin 11.2%	Up 16%, slower than sales; well below the 14.8% of Q4 FY26 and 16% of Q3 FY25.
Q2 FY27 order intake	Rs 2,047 cr	Up 68% on last year and the first quarter above Rs 2,000 cr; made of many smaller orders, no single big one.
Order book	Domestic Rs 2,926 cr (+29%); overseas Rs 1,701 cr (+32%)	Strong visibility for the next several quarters.
Stock P/E	44.3x	Expensive for a business with falling margins (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25	13 Feb 2025	Yes (key passages)
Q4 FY25	15 May 2025	Yes (key passages)
Q1 FY26	Aug 2025	Not downloaded; listed on Screener but the file was missing
Q2 FY26	Nov 2025	Not downloaded; referenced in the Feb 2026 call
Q3 FY26	6 Feb 2026	Yes (key passages)
Q4 FY26	15 May 2026	Yes (key passages)
Q1 FY27	3 Aug 2026	Yes (key passages)
Q2 FY27	28 Oct 2026	Yes, read in full ★ (from the NSE filing; Screener's chip was not yet a link)

Six calls read over about two years, older ones back to 2023 also on Screener. Two FY26 calls (Aug and Nov 2025) didn't download; what they promised is taken from how later calls quoted them.

Latest concall highlights: Q2 FY27 (28 Oct 2026)

- Consolidated revenue up 24% to Rs 1,277 cr, EBITDA up 16% to Rs 143 cr at 11.2%. Standalone domestic revenue up 23% to Rs 799 cr, EBITDA up 37%, profit up 45%.
- Record order intake of Rs 2,047 cr, up 68%, from thermal power, oil and gas, fertiliser and nuclear. Nuclear orders worth about Rs 60-70 cr for canned motor pumps and safety packages; it says it now meets the material rules to bid in NPCIL's tender for 32 primary coolant pumps.
- Guidance kept: double-digit standalone revenue growth in FY27. Margins expected to rise in H2.
- International margin only 5.3%: fewer high-margin service jobs in the UK, an 8% rise in UK material costs and lower-margin oil and gas work. UK margins to recover only partly this year, maybe more the year after.
- Gross margin fell about 400 bps on costlier copper, gun metal and steel, mostly passed on with a lag. A framework deal with a large US data-centre operator is still being negotiated, with no timeline.

Business mix & capacity

Domestic vs export: Q2 FY27: standalone domestic Rs 799 cr of Rs 1,277 cr consolidated, so roughly 60% India and 40% from overseas subsidiaries (SPP UK and USA, the Dutch group, Thailand, South Africa).

Capacity use: Not disclosed as a percentage. Inventory and work in progress are high ahead of long-lead capital-goods orders (8-12 months).

3. Earning Trigger thesis

The trigger is a big order book in capital-goods pumps. Thermal power, oil and gas, fertiliser and now nuclear are placing orders, the domestic order book is up 29% and overseas up 32%, and order intake hit a record. Sales are already growing over 20%. Management also points to a possible NPCIL nuclear pump order, more data-centre and water work abroad, and the UK AMP8 water programme. The problem is margins: costlier metals, lower-margin oil and gas jobs and a weak UK service business mean profit grows slower than sales, and the UK fix keeps getting pushed back.

Trigger	What management said	Evidence so far	Time horizon	Strength
Capital-goods order book	Orders in oil and gas, fertiliser, power; 'outlook is quite good'	Intake +68%, domestic book +29%, overseas +32%	Next 4-6 quarters	Strong
Nuclear pumps	Qualified on materials for NPCIL's 32 primary coolant pumps tender	Rs 60-70 cr of canned motor and safety pumps won; big tender not decided	FY28+	Unproven
UK services and margins	Services to reach about 40% of KBI BV business in 3 years	International margin 5.3%; UK near zero profit in H1	FY28	Weak, slipping
US data-centre framework	'In the last steps of signing' (Aug 2026)	Still negotiating, no timeline (Oct 2026)	Unclear	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	Nuclear orders for canned motor pumps and safety packages; qualified for the NPCIL primary coolant pump tender (28 Oct 2026).
Margin up	No	Consolidated margin 11.2% and gross margin down about 400 bps; management only expects H2 to improve.
New management	No	No change.
New capacity	No	No new plant announced; earlier foundry modernisation and ERP done.
Big orders	Yes	Order intake Rs 2,047 cr, up 68%; domestic book Rs 2,926 cr up 29%, overseas Rs 1,701 cr up 32% (28 Oct 2026).
Turnaround	No	Not a loss-maker; FY26 was a flat year, not a loss.
Promoter buying	No	Not mentioned.

The single concrete driver: Record orders for big engineered pumps from thermal power, oil and gas, fertiliser and nuclear projects, with order books up about a third.

3c. Margin bridge

Consolidated EBITDA margin is 11.2% vs 14.8% in Q4 FY26 and 16% in Q3 FY25. Copper, gun metal and steel got costlier and price hikes pass through with a lag; overseas, UK service jobs fell, UK material costs rose 8% and more low-margin oil and gas jobs came in. Management expects H2 to be better but says UK margins may only fully recover in FY28 (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2025	Double-digit standalone growth in FY25	Consolidated FY25 revenue grew; EBITDA margin 15.2%	Delivered
Nov 2025 (as quoted in Feb 2026)	H2 FY26 'much better than H1'; double-digit growth aspiration for FY26	FY26 consolidated revenue up only 1%, hit by foundry ERP, labour code costs and weak UK	Missed
May 2026	Foundry ERP stabilised, execution to improve	Spillover orders went out; Q2 standalone revenue +23%	Delivered
Aug 2026	Double-digit standalone growth in FY27	H1 standalone strongly up (Q1 +9%, Q2 +23%)	On track
Aug 2026	US data-centre framework 'in the last steps of signing'	Still not signed in Oct 2026, no timeline	Missed so far
FY26 onwards	UK margins to recover in H2 FY27	Now 'noticeably better' in H2, full recovery maybe the year after	Partly

Narrative drift: The core India story stays the same: grow with the economy, win premium engineered orders. The UK story has drifted from 'services and framework contracts lift margins' to 'oil and gas volumes now, margins later', with the recovery pushed out each quarter. The chairman is honest that he won't guide margins and that orders are lumpy.

5. Bottom line

Durable earning trigger? → YES

Order intake and order books are at records and already turning into 20%-plus sales growth, from named sectors like power, oil and gas and nuclear. Margins are the weak link, not demand.

Management consistent? → MAYBE

India delivery has recovered after FY26's double-digit promise was badly missed. Overseas, the UK margin fix and the US data-centre deal keep slipping. Mixed record.

6. Checkpoints for next quarter

- Consolidated EBITDA margin improves in H2 FY27 vs H1
- Standalone revenue growth stays in double digits for FY27
- US data-centre framework agreement gets signed

This is not investment advice. Do your own due diligence.